

DIFFERENT TYPES OF CHART PATTERNS

What Are Chart Patterns?

- Chart patterns are shapes that form on price charts. When you look at how prices move up and down over time, you'll notice certain shapes repeating again and again - like flags, triangles, or rectangles.
- These patterns happen because of a simple reason: some traders want to buy, and some want to sell. When there's a battle between buyers and sellers, a pattern forms on the chart. By learning to recognize these shapes, you can predict where the price will go next.

What Are Chart Patterns?

- Think of it like this: If you see the same shape appear before price jumps up or down, you know it's a hint about what's coming. Traders use these hints to make money.

What is Price Action?

- Price action trading means making trading decisions based on how price moves. Price always follows certain patterns and these patterns repeat over time.
- No need for fancy indicators or formulas. Just watch the chart and understand what buyers and sellers are doing.

Why Chart Patterns Matter?

- Help you understand whether the market is likely to continue or reverse a trend.
- Give clear areas for entry, target, and stop loss using pattern boundaries.
- Remove confusion by focusing on simple shapes instead of many indicators.
- Work on any timeframe and any market (equity, index, forex, crypto).
- Help beginners build confidence because the rules are visual and easy to remember.

Types of Chart Patterns

1. Continuation Patterns

- These patterns show that the current trend is just taking a small break and is likely to continue in the same direction.
- **Examples:** Flag, Pennant, Triangle, Rectangle, Wedge.

2. Reversal Patterns

- These patterns suggest that the current trend is getting weak and the price may change direction.
- **Examples:** Double Top, Double Bottom, Head & Shoulders, Inverted Head & Shoulders.

Types of Chart Patterns

3. Bilateral Patterns

- These patterns don't have a clear direction - price can break out either up or down.
- They show uncertainty in the market, and the breakout direction will tell you which way price will move.
- **Examples:** Symmetrical Triangle, Rectangle.

Continuation Patterns

- **Bullish & Bearish Flag**

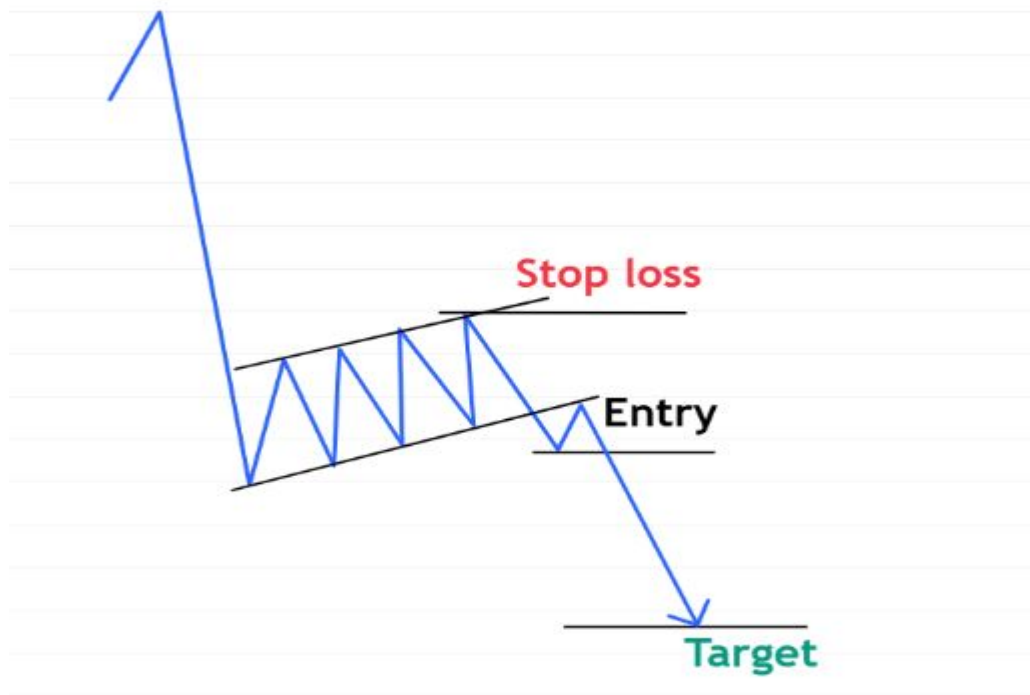
Bullish Flag

- Bullish Flag is a pattern where price first moves up sharply and then takes a small pause, drifting slightly down or sideways in a tight, sloping box before usually continuing the move upward.



Bearish Flag

- Bearish Flag is just the opposite: price falls strongly first and then pauses, drifting slightly up or sideways in a small sloping box before often continuing the move downward.



Falling & Rising Wedge

- **Falling Wedge**
- A falling wedge is a pattern where price moves lower, but the downs and ups get squeezed inside two downward-sloping lines that come closer together. Even though price is going down, this squeezing shows selling pressure is reducing, and very often the price breaks upwards out of the wedge and starts a new rise.



Rising Wedge

- A rising wedge is a pattern where price moves higher, but the ups and downs start getting squeezed inside two upward-sloping lines that come closer together. Even though price is going up, this squeezing shows weakness, and very often the price breaks downwards out of the wedge and starts a fall.



Bullish & Bearish Pennant

- **Bullish Pennant**
- Bullish pennant forms after a strong upward move where price then pauses and moves in a small, triangle-shaped range with lower highs and higher lows; after this short pause, price usually breaks out on the upside and continues the uptrend.



Bearish Pennant

- Bearish pennant is the opposite: it appears after a sharp fall, price then pauses in a small triangle with higher lows and lower highs, and after this brief rest it usually breaks down again and continues the downtrend.



Bullish & Bearish Rectangle

- **Bullish Rectangle**
- Bullish rectangle forms when price moves up first and then starts moving sideways between a clear support and resistance, bouncing up and down inside a box; after this sideways range, price usually breaks out above the box and continues the uptrend.



Bearish Rectangle

- Bearish rectangle is the opposite: price falls first and then moves sideways in a box-shaped range, and after this pause it usually breaks below the box and continues the downtrend.



Bullish & Bearish Triangle

- **Bullish triangle**
- Bullish triangle forms when price is in an uptrend and then starts moving inside a tightening triangle shape, where the lows keep getting higher while the highs are held near the same level; this shows buyers slowly taking control and price usually breaks out upward to continue the uptrend.



Bearish Triangle

- Bearish triangle is the opposite: price is in a downtrend and then moves inside a triangle where the highs keep getting lower while the lows hold near the same level, showing sellers in control and price usually breaks down to continue the fall.



Reversal Patterns

- **Double Top & Double Bottom**

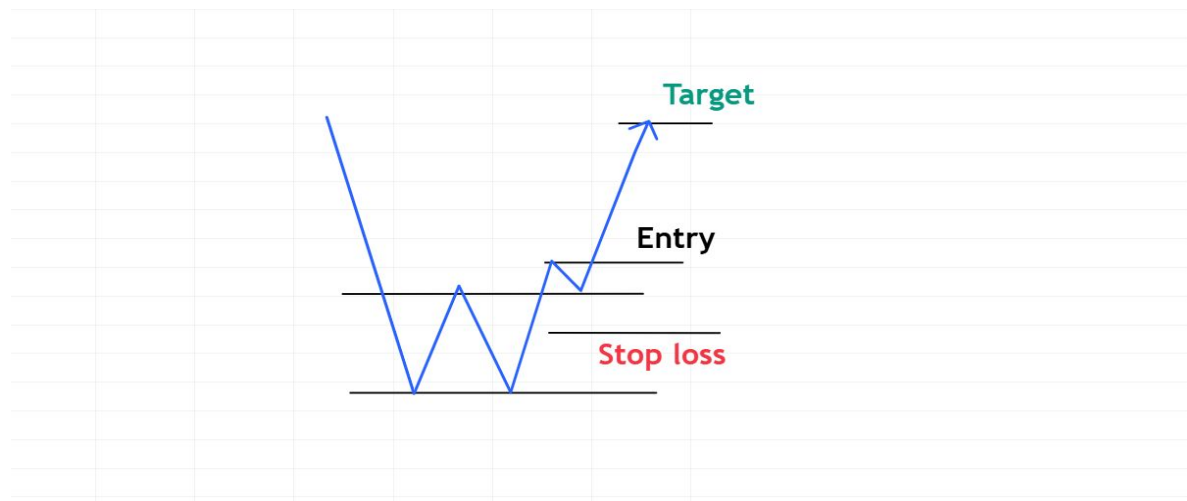
Double Top

- Double top forms when price moves up, reaches a peak, pulls back a bit, then tries to go up again but fails to break the previous peak, creating two similar peaks at the same resistance level; this shows that buyers are losing strength and the reversal usually breaks below the middle valley (between the two peaks) to signal a strong downtrend ahead.
- A similar idea with three highs at that resistance is called a Triple Top.



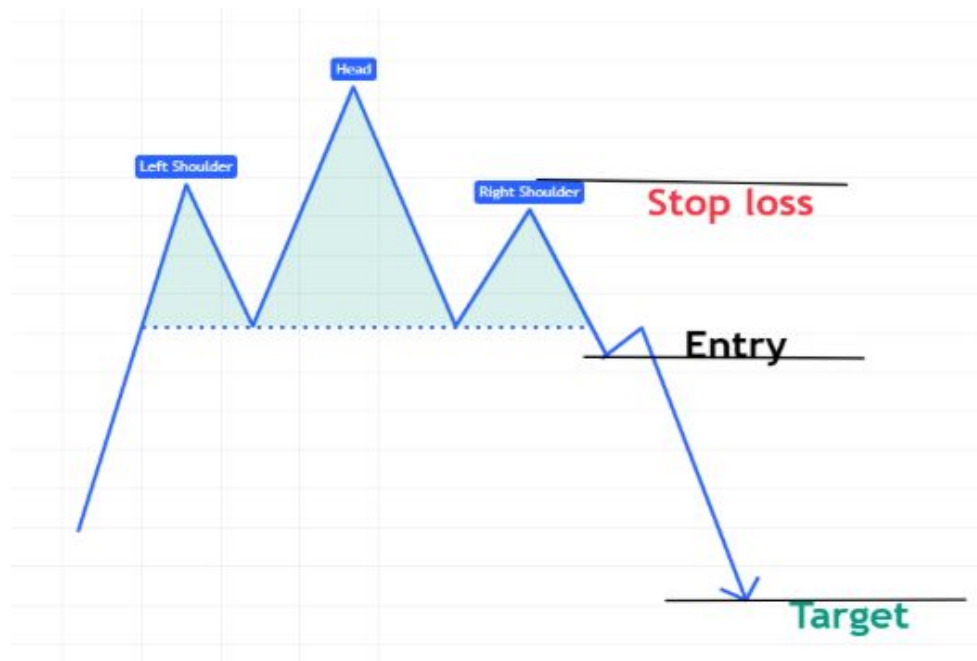
Double Bottom

- Double bottom is the opposite: price falls down, hits a low, bounces back up, then falls again to the same low level, creating two similar lows at the same support level; this shows that sellers are losing control and the reversal usually breaks above the middle peak (between the two lows) to signal a strong uptrend ahead.
- A similar idea with three lows at that support is called a Triple Bottom.



Head and Shoulders & Inverted Head and Shoulders

- **Head and Shoulders**
- Head and Shoulders is a bearish reversal pattern that forms after an uptrend, where price creates three peaks: a left shoulder, a higher middle peak called the head, and then a right shoulder that fails to go above the head; when price breaks below the support line drawn through the two lows between these peaks (the neckline), it usually signals the start of a downtrend.



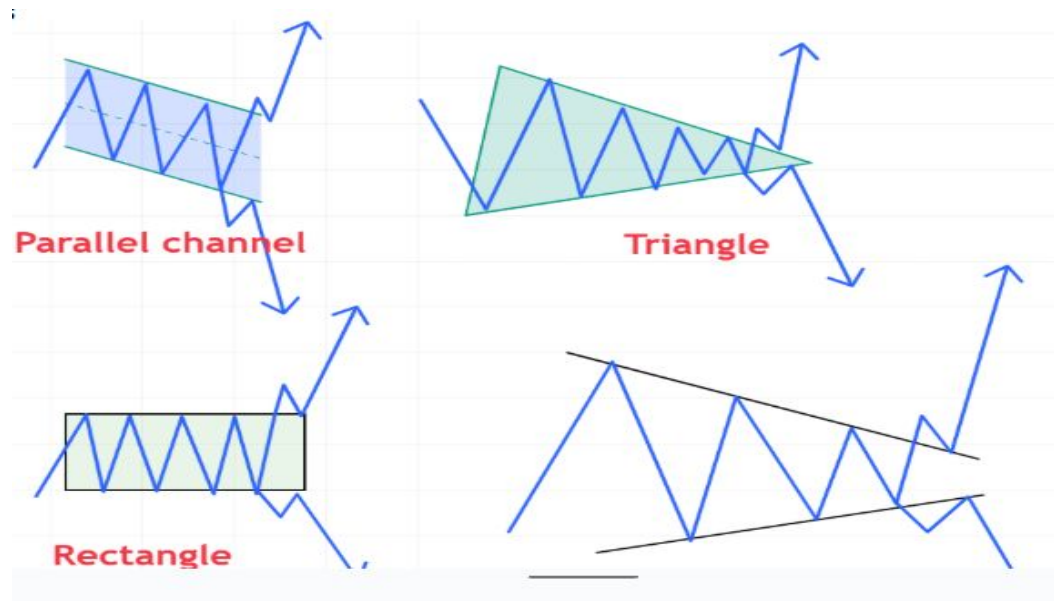
Inverted Head and Shoulders

- Inverted Head and Shoulders is the bullish opposite that forms after a downtrend, where price creates three lows: a left shoulder, a deeper middle low (the head), and a right shoulder that fails to make a new low; when price breaks above the resistance line drawn through the two highs between these lows (the neckline), it usually signals the start of a new uptrend.



Bilateral Patterns

- These continuation patterns can also behave like bilateral patterns in a sideways market. When there is no clear uptrend or downtrend and price is just moving in a range, the same patterns can break out either upward or downward, so traders wait for the actual breakout direction before deciding whether to go long or short.
- Example parallel channels, triangles, rectangles, and wedges.



THANK YOU